



Structural Modeling of Employee Performance: The Roles of Capacity Building and Supervisor Support in Nepalese Commercial Banks

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ABSTRACT

Background: This study examines the impact of capacity building and supervisor support on employee's performance in commercial bank. It also the relationship among capacity building, supervisor support and employee's performance.

Method: This study used a convenience technique to collect data from 150 employees working in commercial bank. Data were gathered through an adopted questionnaire using seven-point likert scale. Statistical analyses were conducted using SPSS 20 and Smart PLS4. A descriptive and a descriptive and explanatory research design was applied and the including path analysis using SEM.

Result: The result indicates that both capacity building and supervisor support have a significant effect on employees performance. Among these factors, supervisor support emerged as a strong predictor, as reflected by its higher beta value.

Conclusion: Policy makers should prioritize capacity building and managerial support to improve employee performance in the banking sector.

Key words: Capacity building, Supervisor support, Employee performance, Commercial Banks

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INTRODUCTION

In the modern competitive banking environment, Human resources serve as a important indicator for the development of organizational and employee performance, facilitating the achievement of specified goals within a designated timeframe (Pradhan and Jena, 2017; Sadick and Kamardeen, 2020). Employees are the soul of any organization (Jasanoff, 2001). effective management is essential for sustaining employee performance and ensuring competitiveness in the market (Song et al., 2019). the employee whose performance can ensure the success of institution. Therefore, banks have to focus on development of employee performance through several ways. The satisfied employee can always perform better (Mengstie, 2020). the banking sector is a service industry, and the quality of service is directly linked to the performance of its employees. High-performing employees can provide excellent customer service, leading to customer satisfaction and loyalty. Organizational performance could be enhanced by aligning the performance management techniques with HRM practices (Den Hartog et al., 2004). Employee performance leads to improve overall efficiency and productivity of organization processes.

Capacity building refers to the process of enhancing an individual's knowledge, skills, and abilities to perform their job effectively (Hargreaves, 2011). Capacity building helps employees to do their job in effective ways. In the banking sector, capacity building initiatives encompass training programs, skill development workshops, and con-

tinuous learning opportunities. Training is the effective tools for enhancing performance (Pandey, 2017). Training and development activities are equally important HR functions which are concerned with imparting knowledge and skills for a particular job (Khan, 2013). Training is very important in banking sector (Dikshit and Jain, 2017). Bank use different technique in order to enhance capacity of their employees, Training and development activities are equally important HR functions which are concerned with imparting knowledge and skills for a particular job (Khan, 2013). Training is very important in banking sector to increase the performance level of employees (Dikshit and Jain, 2017). Banks are currently facing the challenges of employee turnover on which training and development can be effective tools for reducing employee retention (Awan and Kiren, 2016). Career development is the series of on-going activities in the organization, it involves training on new skills, making a career change within an organization which helps in attracting and retaining the qualified and calibre employees (Kibui et al., 2014). Career development is a means of arming employees with skills to perform their jobs and it is the representation of an employer's commitment to their workforce (Alnaqbi, 2011). Supervisors play a critical role in fostering a positive work environment, their support directly impacts employee morale, job satisfaction, and overall performance (Burke et al., 1992).

Supervisory support suggests the leading role played by an authoritative person for the promulgation of ef-

fectiveness and efficient fluency of work in organization through engaging best employees (Van Velsor and McCauley, 2004). Employee of banks has to perform their duties in challenging and changing dynamics. Thus, timely motivation from management can double the rate of performance done by employee (Neupane, 2019). The employee has to support the organization and organization has to support the employee for achieving organizational objectives and the coordination in workplace from superior ease the way of handling problem (Ali et al., 2018). A manager's leadership can have direct impact on the satisfaction of employees through personal contact and indirect impact through shaping supporting policies (Yukl and Becker, 2006). Manager support is described as the degree to which the leaders appreciate the contributions of its employees and care about their welfare. Employees are probably going to remain in those associations where they trust that their capacities, commitments, and positive attitudes are valued (Terera and Ngi-rande, 2014).

Employee performance refers to the activities and tasks performed by an employee efficiently and effectively. Performance can be measured by managers through different mechanisms (Saleem et al., 2021). There are various factors that affect the employee performance such as monetary benefits, training programs, non-monetary benefits, organizational support, organizational support for career development (OSCD), supervisory support and capacity building programs, etc. Resultantly employee performance enhances profitability of the organization (Gull et al., 2012). Interestingly, most of the existing studies on capacity building focus on broader organizational or national contexts. However, there is limited empirical evidence from commercial bank at local municipal level in Nepal, particularly in Siddhartha Nagar Municipality, Bhairahawa, Rupandehi. Thus, the objectives of this study is to access the relationship between capacity building, supervisor support on employees performance in commercial bank and to examine the affect of capacity building and supervisor support on employees performance. Therefore, based on the objectives this research seeks to answer of the following questions. Q1. Is there any relationship between capacity building and supervisor support on employees performance? Q2. Dose the capacity building and supervisor support affect the employees performance? The hypothesis is that, H1: capacity building significant impact employees performance, H2: supervisor support significantly impact on employees performance.

LITERATURE REVIEW

The social exchange theory explain that employees respond to supportive supervisors through reciprocity, putting in extra effort and improving performance (Howard and Ekeh, 1976; Cropanzano, 1976). In the context of capacity building, training enhance employees skill. (Sinha and Chandrakasan, 2001; Ghimire et al., 2023). Human capital theory suggest that investing in employees skill and knowledge boost productivity (Rees and Becker, 1965). In the workplace, social support the-

ory suggest that capacity building and supervisor support provide employees with essential resource, guidance enhancing their skills, confidence and performance (Thoits, 1995; Cullen et al., 1999)

Lessing (Lessing, 2020) examined the effect of training, staff development, and supervisor support on employee's performance. Using quantitative survey method and statistical analysis, the study found that effective training significantly enhance motivation, skill and performance. Ali and Nada (Ali and Nada, 2018) found that employee training has positive effect on performance. Based on a study of 303 employees from two Lebanese companies revealed that capacity building program enhanced job satisfaction and work quality. Similarly, Subha and Bhattacharya (Subha and Bhattacharya, 2021) explore the key factors influencing employees performance in nepalese commercial bank. Using primary data from 200 respondents, employer branding, career growth, work environment significantly affect employees performance.

Likewise, Rahaman et al. (Rahaman et al., 2023) aimed to identify factors influencing employees performance in private commercial banks. Using quantitative approach, questionnaire were distributed among 250 bank employees and SPSS 26 is used to regression analysis. The study found that manager leadership style, compensation have significant positive impact on employees performance. Additionally, Chapagain et al. (Chapagain et al., 2022) investigated the relationship between training and work performance. Using descriptive and cross sectional design, data were collected through questionnaire from 250 employees, SPSS and PLS-SEM were used to analyze collected data. The study found training was highly positively affected employees performance.

RESEARCH FRAMEWORK

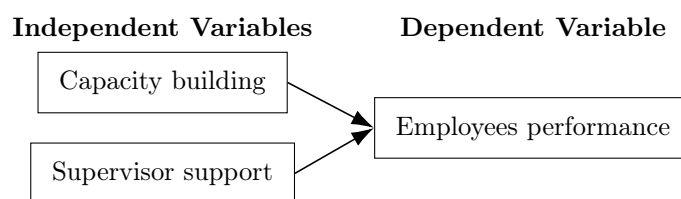


Figure 1. Conceptual framework of the study

Note. Adapted from (Wassem et al., 2019; Palomo et al., 2010; Ahmad et al., 2015; Masood, 2010)

METHODS AND PROCEDURE

Research Design

This research adopts both descriptive and causal-comparative designs to investigate the associations between variables and the impact of one variable on another (Kerlinger, 1986). Thus, the chosen research designs provide a comprehensive framework for conducting the study.

Population and Sample

The population of the research study comprises the total respondents within the research area, specifically the

employees of commercial banks in Siddhartha Nagar municipality, Bhairahawa. The total number of employees in commercial banks in Bhairahawa is 240. Therefore, the population of the study is identified as 240 individuals.

Table 1. Total Employees of Commercial Banks in Siddhartha Nagar Municipality, Bhairahawa.

S.N	Name of commercial bank	No. of employees
1	Kumari Bank	14
2	Rastriya Banijya Bank	13
3	Agriculture Development Bank	15
4	Nabil Bank	16
5	Nepal Investment Mega Bank	11
6	Himalayan Bank	14
7	Nepal SBI Bank	11
8	Everest Bank	12
9	Prabhu Bank	9
10	Laxmi Sunrise Bank	11
11	Global IME bank	15
12	Citizens Bank International	10
13	Prime Commercial Bank	11
14	NIC Asia Bank	16
15	Machhapuchchhre Bank	13
16	Nepal Bank Limited	12
17	Sanima Bank	13
18	Siddhartha Bank	11
19	NMB Bank	13
Total		240

Sample

Sample is a part of a population or subset of population and denoted by n . The total sample size for this study has been obtained using the formulae developed by (Yamane, 1967). In case of population size is known, the Yamane formula for determining the sample size is given by:

$$n = \frac{N}{1 + Ne^2} \quad (1)$$

Where

n = sample size, N = Population size, and e = Margin of error (MOE), $e = 0.05$ based on research condition

Thus, the sample size of the study is $n = 150$

convenience sampling method is used to collect the data from respondents

Nature and Sources of Data

Quantitative data for the study were collected through a primary source.

Tools for Data Collection

Questionnaire is used as research instrument to collect the data from respondent. The questionnaire employs a seven-point Likert scale to gather responses from the participants. The questionnaire is comprised two sections. The first section contains information of demographic profile of participants, and the second section is the main part of the research instrument which is related to the independent variable and dependent variable. The demographic variable such as age, gender, education, experience, and job status were adopted from

previous literature (Saleem et al., 2022). The first independent variable capacity building, all the items for this construct were taken from (Gull et al., 2012). The Supervisor support is next independent variable in this research, ten items were used to measure for this construct, all these times for this variable were adopted from (Yang et al., 2015; Saleem and Amin, 2013). The dependent variable, employee's performance, is a construct that is measure through six items. All these items for this construct were derived from previous literature, specifically from the previous researcher (Saleem et al., 2022; Tabouli et al., 2016).

Method of Data Analysis

The research study has used Smart PLS and SPSS version 20 to analyze the collected data. In this regard, the study employed various statistical tools based on the appropriateness of the data. Additionally, a reliability test was conducted to assess the reliability of the research instrument.

RESULTS

Demographic profile of employees and performance:

The following table 2 shows the age distribution of employees, with 41.3% aged 30 or below and 58.7% over 30, with a total of 150 employees. The average performance score for employees aged 30 or below is slightly higher than those over 30, but the difference is minimal.

Table 2. Distribution of Employees by Age, Gender, Education, Experience, and Their Performance Scores

Demography	Category	N (%)	Mean	SD
Age	≤30 years	62 (41.3%)	5.42	1.407
	> 30 years	88 (58.7%)	5.38	1.333
	Total	150 (100%)	5.4	1.36
Gender	Male	90 (60%)	5.3	1.423
	Female	60 (40%)	5.56	1.255
	Total	150 (100%)	5.4	1.36
Education	Level +2	14 (9.3%)	5.58	1.183
	Bachelor	80 (53.3%)	5.26	1.389
	Master	56 (37.3%)	5.55	1.359
	Total	150 (100%)	5.4	1.36
Experience	≤5 years	95 (63.3%)	5.36	1.365
	> 5 years	55 (36.7%)	5.46	1.361
	Total	150 (100%)	5.4	1.36

Note. Output of SPSS 20

The work force is largely male, with 90 men and 60 women. On average, female employees perform slightly better than male counterparts, and the overall performance score stand at 5.4 most of employees hold bachelor degree while about 37.3% have completed master's degree. Those with a +2 qualification or higher tend to show stronger performance, with minor differences across education levels. The majorities of employees have 5 years or less of work experience; those with more than

5 years record a marginally higher average performance score.

The table highlights employee's views on three dimensions: supervisor support (SS), capacity building (CB), and employees performance (EP). Perception of supervisory support are largely positive, with high mean score showing all employees feel valued, respected, and well guided by their supervisors. Capacity building aspects receive comparatively lower ratings, indicating some dissatisfaction with training, mentoring, and career development opportunities. Employees performance is rated favorably overall, while supervision and performances are strengths, greater attention is needed to improve career development initiatives.

From Table 4, it is found that the value of Cronbach's Alpha for different components of supervisor support, capacity building, and employees performance are 0.909, 0.903 and 0.922 respectively, indicating that the statements in the questionnaire related to these variable are suitable and appropriate.

Table 5 indicates the measures and validity related to the outer model. It shows the standardized outer loading, Variance Inflation Factor (VIF), mean, and Standard Deviation (SD) of the outer model. Twenty scale items are used to assess three latent variables. The outer loading values of all the items are above the threshold value of 0.70 except SS5, which indicates the absolute contributions of each item to measuring the respective variable (Sarstedt et al., 2017). In the case of SS5, according to (Hair and Alamer, 2022), the items having outer loading values above 0.6 can also be retained for further analysis. Similarly, the VIF values of all the items are below 5, indicating no multicollinearity among the scale items (Hair and Alamer, 2022). Consequently, there is no multicollinearity among the items. The mean and standard deviation (SD) results of all the measurement items are in a good range on 7-point Likert scale data. Hence, the measurement items qualify for reliability and validity for further assessment.

The validity and internal reliability of the constructs utilized in this investigation are shown in Table 6. All constructs have Cronbach's Alpha values above the conventional cutoff point of 0.705 (Bland and Altman, 1997), confirming the reliability of the scale used to measure each construct and demonstrating the internal consistency of all constructs. Additionally, construct validity and reliability are indicated by Composite Reliability (CR) rho_a and CR rho_c values exceeding 0.70 (?). All of the constructs appear to have established convergent validity, as indicated by the Average Variance Extracted (AVE) values being over the 0.50 threshold values (Hair and Alamer, 2022). Therefore, all of the quality criteria measures are qualified by the outcomes of the preceding table.

Table 7 contains the correlations between each of the variables utilized in this study, expressed as the Heterotrait-Monotrait (HTMT) ratio. The values of the HTMT ratio fall between 0.371 and 0.809. Although one value is above 0.85 but below 0.90, the normal permissible range for HTMT ratio values is below 0.85. According

to (Heseler et al., 2015), we can also accept the variable having an HTMT ratio of up to 0.90. As a result, discriminant validity across the study's reflective constructs has been proven (Hair and Alamer, 2022).

Model Fit Assessment

The standardized root mean square residual (SRMR) was utilized for goodness-of-fit indices for the model. The SRMR value is 0.061, less than the threshold value of 0.08. This indicates that the model possesses good explanatory power, as (Bentler and Hu, 1998) suggested. For the variable Employee's performance, the f-square value of Capacity Building is 0.042 on employees performance, indicating small size effect. The f-square value of supervisor support on employees performance is 1.087, indicating large effect size (Cohen, 1988). Lastly, the R-square value of employees performance is 0.595, which indicates moderate predictive power (Hair et al., 2013).

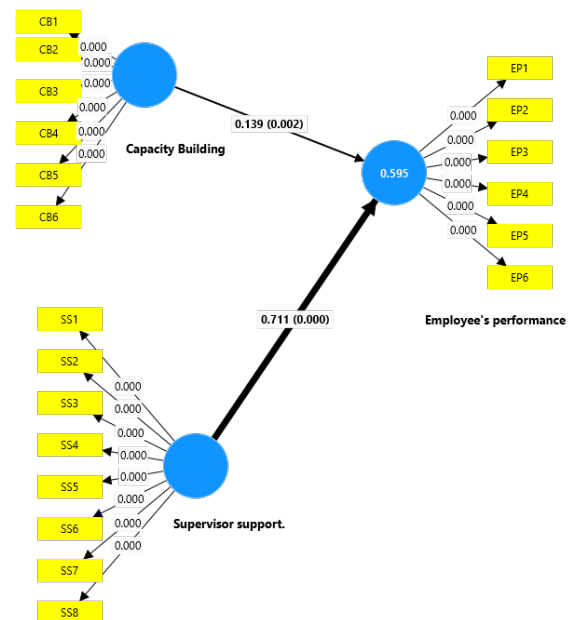


Figure 2. Structural Assessment Model

Note. Output of smart PLS

Table 8 show the bootstrapping results under 5000 subsamples and decisions on zshypotheses. All hypotheses H1 and H2 are accepted at significance level 0.05. Hence, there is a positive and significant impacts of capacity building ($\beta=0.139$; $p<0.05$) on employees performance. Similarly, supervisor support has positive and significant impact on employees performance ($\beta=0.711$; $p<0.05$).

According to table 9, there is positive week correlation between capacity building and supervisor support. Similarly, there is positive week correlation between capacity building and Employee's performance. And, there is positive strong correlation between Supervisor support and Employee's performance.

DISCUSSION

The findings of this survey indicate that capacity building has a significant effect on employee performance. Similarly, training and capacity building programs are impor-

Table 3. Descriptive statistics of items measuring Supervisory Support(SS), Capacity Building(CB), and Employee Performance(EP).

Items	N	Min	Max	Mean	SD
My supervisor is helpful to me in getting the job done. (SS1)	150	1	7	5.17	1.764
My supervisor is willing to extend help to me perform my job. (SS2)	150	1	7	5.24	1.531
My supervisor takes pride in my work accomplishments. (SS3)	150	1	7	4.97	1.716
My supervisor tries to make my job as interesting as possible. (SS4)	150	2	7	5.23	1.499
My supervisor helps me in crisis. (SS5)	150	1	7	4.87	1.752
My supervisor helps in difficult tasks. (SS6)	150	1	7	5.17	1.596
My supervisor treated me with respect. (SS7)	150	1	7	5.87	1.556
My supervisor gave me regular feedback on my performance. (SS8)	150	1	7	6.2	1.442
I am being sufficient trained by the organization. (CB1)	150	1	7	3.37	1.982
My senior properly guides me on the job. (CB2)	150	1	7	3.02	1.881
I am provided mentoring by the organization whenever required. (CB3)	150	1	7	3.71	1.852
I feel sufficient skilled for the present job. (CB4)	150	1	7	3.78	2.02
My organization encourage to avail training opportunities. (CB5)	150	1	7	4.7	1.976
My management motivates me for good performance. (CB6)	150	1	7	4.78	2.152
I feel dedication, seriousness and ability to take responsibility. (EP1)	150	1	7	5.77	1.386
I enjoy professional skill or professionalism and technical knowledge required to carry out the work efficiently. (EP2)	150	1	7	5.38	1.629
I do my work according to specific policies and procedures. (EP3)	150	1	7	5.25	1.839
I feel satisfied with the work I do in the bank. (EP4)	150	1	7	5.61	1.483
Planning the work before starting its implementation contributes to setting the goals that need to be achieved. (EP5)	150	1	7	4.85	1.625
I have the ability to plan my work and its accomplishment according to the planned schedule. (EP6)	150	1	7	5.55	1.62

Note. Output of SPSS 20

Table 4. Reliability Statistics

Variable	Items	Cronbach's Alpha	Corrected Item-Total Correlation
Supervisor support	SS1	.909	.627
	SS2		.798
	SS3		.674
	SS4		.750
	SS5		.610
	SS6		.767
	SS7		.785
	SS8		.671
Capacity building	CB1	0.903	.728
	CB2		.704
	CB3		.815
	CB4		.802
	CB5		.702
	CB6		.664
Employees performance	EP1	0.922	.901
	EP2		.900
	EP3		.913
	EP4		.905
	EP5		.919
	EP6		.909

Note. Output of SPSS 20

Table 5. Measurement Items Assessment/ Assessment of Survey Items

Variables	Items	Loadings	VIF	Construct
Capacity Building	CB1	0.786	2.757	3.89 / 1.623
	CB2	0.762	2.691	
	CB3	0.862	3.741	
	CB4	0.852	3.235	
	CB5	0.842	3.000	
	CB6	0.805	2.829	
Employee's Performance	EP1	0.901	4.055	5.40 / 1.360
	EP2	0.888	3.398	
	EP3	0.828	2.528	
	EP4	0.873	2.942	
	EP5	0.784	2.063	
	EP6	0.842	2.811	
Supervisor Support	SS1	0.725	1.923	5.34 / 1.258
	SS2	0.842	3.640	
	SS3	0.750	2.776	
	SS4	0.797	3.031	
	SS5	0.686	1.673	
	SS6	0.817	2.997	
	SS7	0.869	4.930	
	SS8	0.783	3.416	

Note. Output of SmartPLS.

Table 6. Construct Validity and Reliability Assessment

Variables	Cronbach's alpha	Composite reliability (rho_a)	Composite reliability (rho_c)	Average variance extracted (AVE)
Capacity Building	0.904	0.933	0.924	0.671
Employee's performance	0.925	0.930	0.941	0.729
Supervisor support.	0.911	0.921	0.928	0.617

Note. Output of smart PLS

Table 7. Heterotrait-Monotrait Ratio of Correlations (HTMT)

variables	Capacity Building	Employee's performance	Supervisor support.
Capacity Building			
Employee's performance	0.401		
Supervisor support.	0.371	0.809	

Note. Output of smart PLS

Table 8. Hypothesis testing (direct effect)

Hypothesis	β	Mean	SD	t	P-value	Decision
Capacity Building $\rightarrow$ Employee's performance	0.139	0.141	0.044	3.132	0.002	accepted
Supervisor support. $\rightarrow$ Employee's performance	0.711	0.711	0.052	13.758	0.000	accepted

Note. Output of smart PLS

Table 9. Correlation

	Supervisor support	Capacity building	Employee's performance
Supervisor support	1	.336**	.738**
Capacity building		1	.363**
Employee's performance			1

Note. Output of SPSS 20

tant for human resource development (Asfaw et al., 2015; Guest, 1997). Likewise, training enhance employees performance, productivity, knowledge and skill in banking sector and it also helps in career development of any individual over the life span (Gull and Azam, 2012; Wanyama and Mutsotso, 2010; Otoo and Mishra, 2018). Regarding supervisory support, managers should maintain good working environment in workplace, consistent feedback to their subordinate, clear and effective communication with their employees regarding work related challenges and fair treatment to the employees in workplace help improve employees productivity and performance in banking sectors (Pulakos, 2009). The results of the research show that managers' support does not significantly affect the performance of textile industry employees (Wassem et al., 2019). capacity building and supervisor support improves the performance of employees is justified by this study. Based on the results, the study recommended that employees' capacity building is positively linked with the employees' performance. Therefore, firms should arrange training for employees with the collaboration of the HR department.

CONCLUSION

In conclusion, there is a positive effect of capacity building on employees' performance. Similarly, supervisor support also has a positive effect on employees' performance. It means providing training and supervisor help to the banking employees to increase their performance level of the employees. Furthermore, there is a positive and significant relationship between capacity building, supervisor support, and employee performance. This study emphasizes the value of capacity building and managerial support in improving employee performance in the banking industry. Policymakers could encourage this by organizing training programs for bank employees.

LIMITATIONS AND FUTURE RESEARCH

This study only focuses on the employees' performance of the commercial bank of Siddharth Nagar municipality, Bhairahawa. So, the finding may not be applicable in other areas. Future research should investigate how peers and family influence career choices and how these aspects improve employee performance. Organizations may apply this information to create strategies for training.

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CONFLICT OF INTEREST

The authors decide no conflict of interest related to this study.

AUTHORS' CONTRIBUTION

Asfaq Ahmad: Conceptualization, methodology, data curation, original draft preparation, software,

Govind Jnawali: Validation, investigation, formal analysis, writing-review and editing, supervision, software

DATA AVAILABILITY STATEMENT

Data were exclusively used for this paper.

ETHICAL STATEMENT

This study did not require ethical approval because it did not include any human or animal trials. This unique article has not been submitted to another publisher. Furthermore, this article meets all the relevant ethical considerations.

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